Problem Statement: Paytm Owns the Counter, Not the Payout

SUMMARY

Paytm is on **1.57 crore merchant counters** but carries only **19% of those merchants' outgoing business payments** by value, the outflow that counts toward UPI app share. The **0.4% MDR from 15 Oct 2026** will push more of it to NEFT and cash. We propose **Supplier Pay**: suppliers paid inside Paytm for Business, backed by partner-lender credit and verified receipts. Impact: **≈₹27,000 crore a year of extra GMV**, **1–2 lakh new merchant payers** and **4–5 more Paytm payouts per merchant a month**.

PROBLEM STATEMENT

A collection on a Paytm QR counts toward the *customer's* app in NPCI's app share. Only payments a merchant **makes** count for Paytm, and merchants pay suppliers, rent and staff mostly on **PhonePe, Google Pay or bank transfer**.

New from 15 Oct 2026: a fee (MDR) on UPI

0.4%	₹300	Payee	Exempt
on merchant payments over ₹2,000	cap per payment	pays it, never the payer	under ₹1L a month; P2P free

A distributor now pays on almost every retailer payment, and has a new reason to ask for **NEFT or cash** instead of UPI.

TARGET SEGMENT

Merchants on a **Paytm QR or Soundbox** collecting **over ₹1L a month** on UPI (est. ≈24 lakh), starting in trade clusters such as **Andheri, Mumbai**.

- **Retail owner:** kirana, pharmacy or food outlet paying 3–6 distributors a week
- **Trader:** wholesaler paying upstream suppliers ₹25k–1L+, often by RTGS

Phase 2: merchants under ₹1L a month and non-Paytm merchants

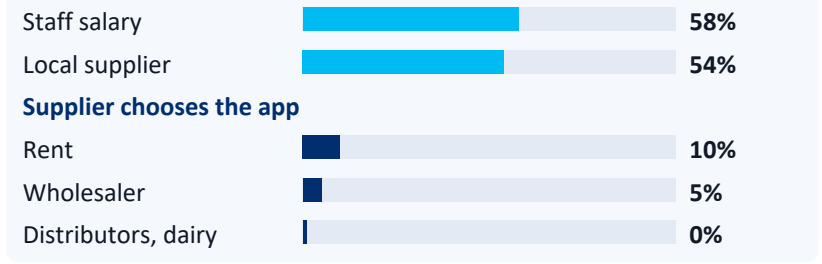
VOC EVIDENCE: 50 MERCHANTS

19%
of value via Paytm, but **44% by count**: it wins small payouts, loses big ones (n=22)

31/50
pay their biggest supplier on the supplier's usual app

25/50
would move big payments to NEFT or cash if the fee is passed on

Paytm wins where the merchant chooses, loses where the supplier does (n=22)



How the biggest supplier gets paid, and what decides it (n=50)



Plus **4** by the merchant's own habit and **2** via a B2B app's checkout. Any UPI app can pay any QR, so the **31 are winnable** if the supplier trusts the payment; the **13 on bank rails** need a reason to come back to UPI.

Other unmet needs: supplier ledger and CA-ready records 21 · supplier credit 21 · due-date payments 10 · "money lands in the bank anyway" 10 · 2024 trust gap 6

WHY IT MATTERS FOR PAYTM

- ✓ **Share is won on payouts:** Paytm ~8% of UPI volume vs PhonePe 46%, Google Pay 33%
- ✓ **A benchmark exists:** Paytm for Business users send 47% of outflow via Paytm vs 7% for others
- ✓ **The fee band:** up to ~74% of this outflow goes to supplier-type payees above ₹2,000
- ✓ **Counters are a race:** PhonePe is adding 5M devices; payouts are where Paytm can stand apart

PAYMENT OCCASIONS AFFECTED

Daily dairy	*Restocking*	*Rent*	*Staff pay*
Mid value, high freq	High value, high freq	High value, low freq	Mid value, P2P
0% on Paytm	**0–5% on Paytm**	**10% on Paytm**	**58% on Paytm**

RESEARCH APPROACH

50 owners in 6 trade categories, Andheri East and West (10 in-depth). **22 fit the target segment**; the rest give the comparison. Each showed their **last 5 business UPI payments**: 250 logged.

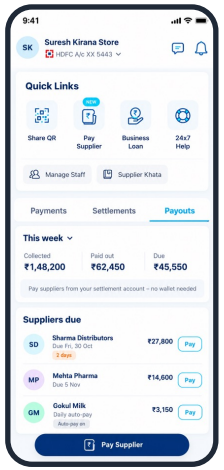
"Where my money comes in, from there I should be able to pay. Simple." – Kirana owner, Saki Naka

Sources: *NPCI UPI statistics (Aug 2026) and app shares (May 2026); NPCI UPI MDR FAQs via SCC Online and Business Standard (Sep 2026); Paytm Q1 FY27 earnings release; Business Standard on merchant-network expansion (Sep 2026). VOC dataset, n=50 Andheri merchants.*

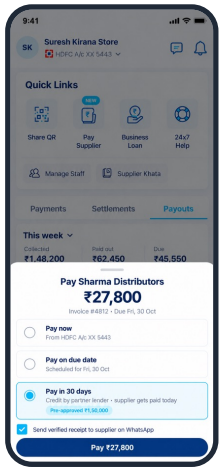
Proposed Solution: Supplier Pay Makes Paytm the Payout App

PROPOSED SOLUTION

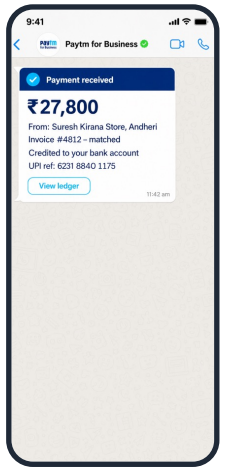
Supplier Pay (working name) adds Payouts to Paytm for Business: merchants pay suppliers where collections already show, and suppliers get a reason to welcome it.



1. Pay Supplier and Payouts in the existing app



2. Pay now, on the due date, or in 30 days on credit



3. Supplier gets a receipt matched to the invoice

Concept mockups

Merchant: money in and out in one app, credit, CA-ready books

Supplier: payments matched to invoices; day-0 cash where credit applies

Paytm: payouts that count toward app share; lending fees

Why it lasts: ledger, credit history and supplier network, not cashback

HOW IT WORKS: FOUR LAYERS

Pay from the bank, see both sides — 10/50

Pay from the linked settlement account inside Paytm for Business; money in and out on one screen.

Invoice-matched receipt + distributors — 31/50

Each payment arrives matched to its invoice, saving the supplier's clerk reconciliation; distributors on Paytm see it in their ledger.

Due-date payments + partner credit — 21/50

Schedule like a post-dated cheque, or take 30-day partner-lender credit, paid to the supplier over normal UPI.

Supplier Khata (payables) — 21/50

Business Khata extended from what customers owe to what suppliers are owed; GST and Tally export.

WHERE CREDIT ADDS VALUE

A. Supplier gives no credit today: the retailer gains 30 days it never had and pays the interest.

B. Supplier funds credit at 18–24%: a lender at ~12% pays it on day 0. Cost per ₹100 over 30 days:



Break-even at ~18%; below that, no credit is offered. Bad-debt risk also moves to the lender.

FEASIBILITY

Regulatory: credit is disbursed by a partner lender to the merchant's account, then paid over normal UPI; paying from the bank needs no wallet

Technology: adds payment-sending to Paytm for Business (Paytm is already a UPI payer app); reuses Business Khata; WhatsApp receipts cost paise each

Distribution: the Soundbox field force already visits these counters; distributors bring their retailers

Economics: no cashback burn; earns lending fees and a share of the fee on supplier payments (split unpublished)

EXPECTED BUSINESS IMPACT

GMV	MTU	Frequency
₹27k cr/yr	**+1–2 lakh**	**+4–5 / mo**
net of fee leakage; range ₹4.9k–52k cr	new merchant payers on Paytm; a modest lift	Paytm payouts per merchant (≈12 → 16)

Basis: 24 lakh × ₹1L × +11 pts (19% → 30%) less 13% leakage; MTU = 20–40% of the 23% with no Paytm payouts. The strategy is GMV- and frequency-led.

PILOT AND RISKS

Pilot: 500 Andheri merchants vs control, before Diwali. Week 8: suppliers saved, % paying via Paytm, credit uptake. Month 12: 30% outflow share.

Risks: collections moved to personal QRs; B2B fee pass-through unclear (confirm with NPCI); 2024 trust gap.

Sources: *VOC dataset, n=50 Andheri merchants; Paytm Q1 FY27 earnings release; Paytm Business Khata product page; NPCI UPI MDR FAQs via SCC Online (Sep 2026). Credit maths: 30 days at the stated annual rates; UPI fee 0.4% plus 18% GST. Product name, screens, pilot and targets are team proposals.*